

Innovator's Dilemma

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Why good firms miss disruption

PROFESSIONAL DEFINITION

The Innovator's Dilemma is the finding that well-managed incumbents can fail precisely because they listen to their best customers and invest in sustaining innovations, leaving them exposed to disruptive entrants.

WHO DEVELOPED IT

Articulated by Clayton Christensen in *The Innovator's Dilemma* (1997).

WHY IT WAS DEVELOPED

It was developed to explain the paradox that doing everything 'right' by mainstream-customer logic can cause incumbents to lose to initially inferior disruptors.

FIGURE 1 · INNOVATOR'S DILEMMA

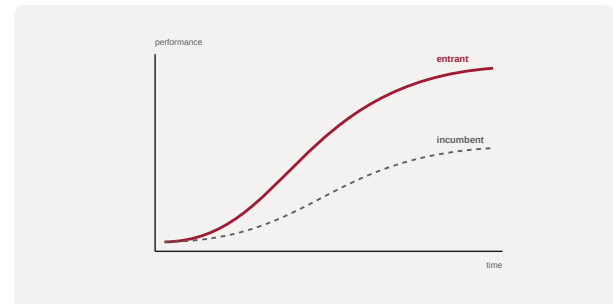


Figure 1. A schematic of the Innovator's Dilemma as applied in BARBM312 (illustrative).

HOW IT IS USED

The firm examines whether disruptive threats are dismissed because they serve undemanding or new segments, and whether it can pursue them without cannibalising the core.

WHEN IT IS USED

When facing potential disruption and deciding how to respond.

BY WHOM IT IS USED

Executives, strategists and innovation leaders.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It overturned the assumption that incumbents fail through complacency, showing that competence at the core can itself be the vulnerability.

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SOURCES (HARVARD REFERENCING STYLE)

Christensen, C.M. (1997) *The Innovator's Dilemma*. Boston: HBS Press.

Christensen, C.M. and Raynor, M. (2003) *The Innovator's Solution*. Boston: HBS Press.